STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Peter & Joy Clancy

Of

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Prepared on:

30th August 2012

By your Adviser:

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

30/08/2012

Peter & Joy Clancy
26 Allan Street
Blairgowrie VIC 3942

Dear Peter & Joy,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, commissions, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation Structure.
- Retirement Planning.

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Peter and Joy, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review your overall asset position (including superannuation portfolio) and ensure that it is structured in the most effective manner.
- Ensure you have sufficient cash flow to meet your daily living needs.
- Preserve your capital whilst generating sufficient cash flow to meet your retirement needs.

Recommendation Overview

Considering your stated goals and objectives, investor risk profile and age we recommend that you:

- Establish an allocated pension from your Self-Managed Superannuation Fund (SMSF).
- Over time, restructure your portfolio to a more ‘moderately conservative’ asset allocation in line with your *Moderately Conservative* investor risk profiles.

Anticipated Outcomes

Following our recommendations, we anticipate that:

- The majority of your capital will be invested inside the tax free superannuation environment consistent with your investor risk profile.
- Tax in excess of **$11k** may be saved upon sale of the Rosebud clinic.
- Tax in excess of **$8k PER ANNUM** may be saved via entitlement of full refund of franking creditss.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	Peter	Joy
Surname	Clancy	Clancy
Gender	M	F
Date of Birth	18/07/1955	26/06/1957
Age Last Birthday	57	55
Marital Status	Married	Married

Health Details

Health Status	Good	Good
Smoking Status	No	No

Employment Details

Employment Status	Retired	Retired
Occupation	-	-
Employer	-	-
Proposed Retirement Age	-	-

Estate Planning

Do you have a Current Will?	Yes	Yes
Date Last Reviewed	2007	2007
Do you have Current Powers of Attorney?	Yes	Yes
Do you have a Testamentary Trust?	Yes	Yes

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Joy	
Residential Home	$1,310,000
Total Lifestyle Assets	**$1,310,000**

Investment Assets	
Clancy Family Trust	
Port Douglas Property	$190,000
Peter	
UBank account	$130,000
NAB account	$3,000
ETrade account	$2,000
ITC Pulpwood	$13,000
Total Investment Assets	**$338,000**

Superannuation Assets	
Clancy Super Fund	
ISaver Account	$163,000
Direct Shares – Macquarie Portfolio	$417,000
Certitude Octane Global Fund	$45,000
1/3rd of Rosebud Veterinary Clinic	$183,333
1/3rd of Dromana Veterinary Hospital	$220,000
1/3rd of East Mornington Veterinary Clinic	$283,333
Total Superannuation Assets	**$1,311,666**

Total ASSETS	**$2,959,666**

LIABILITIES

NAB Credit Card	$7,000
Total Liabilities	**$7,000**

NET WORTH	**$2,952,666**

Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The ‘Total’ column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Current Risk Management Policies

Life Insured: Mr Peter Clancy

Product: Underwriter	Policy Owner	Death	TPD	Trauma	Income Protection Per month	Annual Premium
TAL	Clancy Super Fund	$1,658,677	$0	$0	$0	$6,849.48
AIG	Peter	$0	$0	$200,000	$0	$4,210.80
Total Sums Insured		**$1,658,677**	**$0**	**$200,000**	**$0**	**$11,060.28**

Life Insured: Mrs Joy Clancy

Product: Underwriter	Policy Owner	Death	TPD	Trauma	Income Protection Per month	Annual Premium
TAL	Clancy Super Fund	$1,050,000	$0	$0	$0	$2,046.88
TAL	Joy	$0	$0	$365,042	$0	$3,430.13
Total Sums Insured		**$1,050,000**	**$0**	**$365,042**	**$0**	**$5,477.01**

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon the Risk Profile Questionnaire that we worked through together it was determined you have a Moderately Conservative investor risk profile.

- The Moderately Conservative investor seeks a diversified portfolio with a balance of defensive and growth assets.
- This requires an investment time horizon of between 3 – 5 years.
- The portfolio would be include a high portion of income bearing securities such as cash and fixed interest, with a small exposure to equities and property providing appreciation potential.

A Moderately Conservative investor will typically diversify their investment in the following manner:

Australian Shares	24%
International Shares	14%
Fixed Interest	38%
Property	10%
Cash	14%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

If you feel the above investor profile does not reflect your attitude as an investor, or the recommended portfolio contained in this report is too aggressive or conservative, please let me know so I may adjust my recommendations accordingly.

Our recommendation has been made given your risk tolerance, while in balance with your goals and objectives.

Retirement Planning

You have both also stated that you would like a combined retirement income of around $90,000 p.a. or $45,000 p.a. each.

- To achieve a retirement income of **$45,000** per annum we estimate you will need the following capital amount:
    - Peter will need around **$604,000** in initial retirement capital at age 57 to generate an income of $45,000 p.a.
    - Joy will need around **$753,000** in retirement capital at age 58 to generate an income of $45,000 p.a.
    - Therefore, in total you will need around **$1,357,000**.

- You currently have the following approximate superannuation balance:
    - $1,311,666

- Based on these figures you currently have a combined retirement capital shortfall of an estimated **$45,334**.

Note: The estimated figures above do not include any assets outside of the superannuation environment or any of the new recommended investments

<u>Assumption:</u>

- Net return of **5% p.a**. after accounting for an inflation rate of 3% p.a.

Superannuation – Pension Phase and Retirement Income Streams

Peter and Joy, you both currently do not have pension accounts. Current legislation allows you (as you have reached preservation age) to commence an income stream with your superannuation monies. This income stream is taxable at your marginal rate with a provision for your tax free component and a 15% tax offset applicable to your taxable component. From age 60, all income received from this income stream is tax free. Once you have commenced an income stream all income on the amount funding the income stream is tax free as opposed to being taxed at 15% when in accumulation phase.

The minimum pension amount that you can draw is 3% of your account balance per annum whilst the maximum pension is 10% and is re-calculated in July each year.

Recommendations:

- Establish an allocated pension from your Self Managed Superannuation Fund (SMSF).
- Draw down a combined amount of **$90,000** p.a. to meet lifestyle expenses.
- Set up your pension payments to be drawn from your most conservative investment options first, that is cash and then fixed interest, allowing your growth assets to maximise their growth potential in positive markets and minimise the negative growth potential in negative markets.
- Adopt a scheduled rebalance of your investment portfolio to retain your selected asset mix over the longer term.
- The following steps outline the procedure for establishing an allocated pension from your SMSF:
    - The member needs to apply to the trustees of the fund for a pension in writing stating that a condition of release has been met, the initial value of the pension, the type of pension and the start date of the pension.
    - A trustee meeting then must be held to acknowledge that a member is wishing to start a pension. Details of the meeting must be minuted.
    - To establish a pension you will need to determine the date of establishment and establish the asset value of the pension account at date of commencement.
    - Arrange periodical payment of net pension and pay group tax when it falls due.

Note: **Michael Samu of Lakeside Accountants will arrange most of this for you.**

Benefits:

- **Once you commence an income stream, the earnings on your superannuation funds used in the purchase price of the pension become tax free. This remains the case for the life of the pension.**
- **The implication of the above is that as you will be in pension phase any capital gains applicable to the sale of the SMSF's investment properties will be tax free.**
- Your capital will be invested within a concessionally taxed environment that will keep your asset base ahead of inflation. This structure is much more beneficial as interest from bank deposits is taxable income and your capital is eroded by inflation.
- The commencement of your Allocated Pension will mean that all future income earned on your superannuation capital will be tax free.
- You will receive a concessionally taxed income stream of approximately **$90,000** per annum.
- **You can withdraw lump sum amounts.**

Superannuation – Pension Phase and Sale of Rosebud Clinic

The Clancy Super Fund owns a 1/3rd share of the Rosebud Veterinary Clinic and it is intended to sell this clinic within the next 12 months. An approximate calculation of the capital gain (and subsequent tax payable by the SMSF) is demonstrated below:

Ownership	Cost Base	Sale Price	Capital Gain	Tax applicable on capital gain	Tax payable
SMSF Accumulation Phase	$56,133	$183,333	$127,200	2/3rds of 15%	$12,720
SMSF Pension Phase	$56,133	$183,333	$127,200	0%	$0

<u>Assumptions:</u>

- Cost base of property is $168,399
- Sale price of property is $550,000

<u>**Benefits:**</u>

- By moving the Clancy Super Fund into 'pension phase' prior to the sale of this property, we anticipate that approximate **tax saved may be in excess of $12k** based on these assumptions.

Superannuation – Pension Phase and Utilisation of Franking Credits

An example of the extra benefit franking credits will provide within the SMSF within 'Pension Phase' is demonstrated below:

Approximate Tax Liability in Accumulation Phase

Income Source	Amount Received	Deduction	Taxable Income	Tax
Trust distributions	$40,000			
Dividends	$17,000			
Franking credits	$6,000			
Deductions				
Total deductions		$8,000		
TAXABLE INCOME			**$55,000**	
Tax payable before franking credits				**$8,250**
Franking credits				($6,000)
NET TAX PAYABLE				**$2,250**

Approximate Tax Liability in Pension Phase

Income Source	Amount Received	Deduction	Taxable Income	Tax
Trust distributions	$40,000			
Dividends	$17,000			
Franking credits	$6,000			
Deductions				
Total deductions		$8,000		
TAXABLE INCOME			**$55,000**	
Tax payable before franking credits				**$0**
Franking credits				($6,000)
NET REFUND				**$6,000**

Notes:

- Approximate income and deduction figures from the 2011 SMSF tax return have been used as a guide.
- No further contributions will be made, therefore these have not been included.

Benefits:

- By moving the Clancy Super Fund into 'pension phase', we anticipate that approximate **tax saved may be in excess of $8k PER ANNUM** based on these assumptions (i.e. a refund of $6,000 rather than tax payable of $2,250).

Anti-Detriment Payments (ADP)

An anti-detriment payment is an increased amount of death benefit as a result of the 1988 introduction of a mechanism to allow a superfund to claim the tax paid on contributions of the deceased member. It applies to a lump sum death benefit paid to a spouse, former spouse (via the Estate) or child of the deceased member. It ensures the payment to the recipient is the amount they could have expected to receive had no tax been paid on the contributions.

To be entitled to the deduction the Fund must first pay the increased death benefit which is a benefit additional to that sourced from the deceased member's account. The Fund is entitled to a deduction which is intended to compensate for contributions tax once it has been applied to taxable income at 15% (deduction available irrespective of the deceased's age).

For example, if a fund had received $100,000 in tax deductible contributions it would have paid $15,000 in contributions tax so an anti-detriment payment of $15,000 as a lump sum payment to a spouse or child of the deceased will provide the Fund with a $100,000 tax deduction. This will create a saving of $15,000 in tax on the next $100,000 in taxable income the Fund receives including from concessional contributions. Unless the Fund can use the deduction the compensation mechanism fails (i.e. other members in accumulation phase).

The formula to calculate the increase in the death benefit lump sum is as follows:

$$\frac{(0.15 \times P)}{(R - 0.15 \times P)} \times C$$

P = Number of days in R that occur after 30 June 1988 (date contributions tax started)
R = Total number of days in the service period post 30 June 1983
C = Taxable component of the lump sum

Withdrawal and Re-Contribution Strategy

This is an estate planning strategy for people in retirement or nearing retirement that effectively converts a percentage of the taxable superannuation component into a tax-free component.

In other words this strategy produces a higher tax-free amount than would otherwise be available. Note that a non-dependant beneficiary is liable for tax at 15% on any taxable superannuation amounts received.

You may withdraw and recontribute your superannuation account balance in stages to convert it into tax-free component.

This must be done within the contribution limits detailed in the 'Superannuation Contribution Limits' section of this Statement of Advice

Benefits:

- This strategy will reduce the level of tax payable upon payment of your Death Benefit to your non-dependant beneficiaries.
- The potential tax saving is 15% of the amount that has been converted from a taxable to a tax-free component. For example, based on a $200,000 taxable component this would be a $30,000 saving.

Anti-Detriment vs Withdrawal & Recontribution Strategy

Critical factors include:

1. **Who can receive an ADP:**
   - spouse
   - former spouse
   - child, of any age (including adopted / step-child)

2. **Dependancy relationships:** what class of dependants are present to consider (there may be more than one, especially sequentially – eg spouse then children):

Class of Dependant	Dependancy Relationship
No ADP dependant(s) or tax dependant(s)	No spouse, former spouse, child, interdependent relationship or financial dependant
ADP dependant(s) & tax dependant(s)	Spouse, former spouse, child(ren) under age 18. *Spouse includes same sex partner/de facto (see Note below)*
ADP dependant(s) but not tax dependant(s)	Child(ren) over age 18
Tax dependant(s) but not ADP dependant(s)	Interdependant relationship, financial dependant

3. **Age Relationship**: what is the member's statistical life expectancy relative to the life expectancy of the prime potential dependant(s). This is especially relevant for couples (married or de facto and same sex). A person's family history in regard to longevity may also be a consideration:

Consideration	Factors
Greater life expectancy	> 2 years
Similar life expectancy	Within 2 years
Lower life expectancy	< 2 years
Family History	Family longevity/lack of longevity
Not applicable	No relationships to consider

4. Health (of member, & potentially of spouse):

State of Health	Effect
Good	Expect average life expectancy of longer
Fair	Less than average life expectancy
Poor	Significantly less than average life expectancy

5. Age of Member with respect to withdrawal and recontributions

Age Bracket	Consideration
Under 55	What super is accessible at what tax impost?
55 – 60	What super is accessible at what tax impost, considering 0% tax threshold?
60 – 65	No tax considerations but able to contribute to super
65+	Meets work test – no tax but limited ability to contribute to super
65+	Cannot meet work test – no tax but can't contribute to super

6. Employment Start Date

(a) Before 1/7/1983
(b) Between 1/7/83 & 30/6/88
(c) After 30/6/88

Examples

For the purpose of the following examples the same person will be used but changed circumstances for the different situations addressed. In each case the client, Jim, saw his Lakeside Financial Planner a year before his death.

Jim (DOB 1/7/50) passed away on 1/7/2010 aged 60. Jim's total superannuation benefits are $500,000 of which $200,000 is the tax-free component.

The eligible service date used will vary between the different scenarios.

Example 1

In this example we will assume Jim's ESD is 1 July 1985. Jim is married to Mary aged 57 and has 2 adult children aged 31 & 29, both of whom are non-dependant. Jim has nominated Mary as his beneficiary to the super fund. At the time of Jim's last appointment with his planner his health (& Mary's) was good, with an expectation of normal life expectancy. His super balance and components were exactly the same as at date of death. At that stage Jim & Mary had heard about the tax their children could pay if Jim's super went to them due to Mary predeceasing Jim. This was a concern to them. (Note – case studies are in relation to planning for Jim, further planning may be required for Mary in the event of Jim's death.)

No Withdrawal and Recontribution strategy:

ADP would be calculated as $\frac{0.15 \times 8036}{9132 - (0.15 \times 8036)}$ x Taxable component

$= \frac{1205.4}{7926.6} \times \$300,000$

=$45,621

Results would be:

(1) Amount payable to Mary (tax dependant) would be $545,621

(2) Amount payable to children (non-tax dependants) in the event Mary pre-deceases Jim would be:

Taxable component*(1 -.165) + Tax-free component = ($345,621 – $57,027) + $200,000 = $488,593

(3) If both Mary & the children pre-decease Jim (& there are no other ADP dependants), ADP would not be payable and Jim's estate would receive $300,000*(1– .165) + $200,000 = $450,500

In summary:

Super benefit at date of death	$500,000
ADP	$45,621
Payable to Mary	$545,621
Payable to adult children as Mary has predeceased Jim	$488,593
Payable to estate as Mary & the children have predeceased Jim	$450,500

If Jim had undertaken a Withdrawal and Recontribution strategy between age 55 & 60 using the Nil tax threshold (assume as $160,000) for his Taxable component he would have achieved the following components:

Taxable $140,000
Tax-free $360,000

ADP would have been $21,272 and so results would be:

(1) Mary would have received $521,272.

(2) If Mary had predeceased Jim, the non-tax dependant children would have received after tax $494,662.

(3) If both Mary & the children had pre-deceased Jim (& there are no other ADP dependants), ADP would not be payable & Jim's estate would have received $140,000*(1 – .165) + $360,000 = $476,900

In summary:

Super benefit at date of death	$500,000
ADP	$21,272
Payable to Mary	$521,272
Payable to adult children as Mary has predeceased Jim	$494,662
Payable to estate as Mary & the children have predeceased Jim	$476,900

Not doing a Withdrawal and Recontribution strategy would have provided the best result for Mary. The children would have received $6,069 less than under the Withdrawal and Recontribution strategy. If no ADP dependants survived Jim then the Withdrawal and Recontribution strategy provided a significant benefit.

What factors could have influenced the Planner's decision to recommend no Withdrawal and Recontribution strategy (or vice versa):

- Jim's health was good at the time of advice
- Mary was 3 years younger than Jim and life expectancy was 6.13 years longer; she was in good health (what are the odds that Mary will pre-decease Jim given good health?)
- What are the odds of the children pre-deceasing Jim given no adverse health conditions?
- Jim wanted all his super to go to Mary
- Jim was able to contribute to super
- His ADP factor, whilst not the maximum, was above the minimum that can apply.

Example 2

What would have been the situation if Jim was aged over 60 at death and had undertaken a Withdrawal and Recontribution strategy post 60 to maximise his tax-free component, as against no Withdrawal and Recontribution strategy.

We will assume Jim had withdrawn & recontributed $450,000 in one year after reaching age 60.

If *no Withdrawal and Recontribution strategy* (and using the same components as Case Study 1), the result would be as for Case Study 1:

(1) Mary would have received $545,621
(2) If Mary predeceased Jim, the children would have received $488,593
(3) If no ADP dependants, Jim's estate would have received $450,500

A *Withdrawal and Recontribution strategy was implemented* , after age 60, and the maximum possible had been withdrawn and recontributed. In this instance we are using $450,000 however if timed over 2 consecutive financial years it would be potentially possible to use a Withdrawal and Recontribution strategy with up to $600,000.

If $450,000 was withdrawn the components would be :

Taxable Component	$270,000 (60%)
Tax-free Component	$180,000 (40%)

Upon recontribution the components would be:

Taxable Component	$30,000
Tax-free Component	$470,000

Upon Jim's death any ADP payment would be $4,562 ($30,000 x factors used in CS 1)

This would result in the following payment:

(1) Mary would receive a benefit of $504,562
(2) If Mary predeceased Jim, the children would receive a benefit of $498,858 ($504,562 – ($34,562 * 0.165)
(3) If no ADP dependants, Jim's estate would receive $495,050.

A summary of the actual death benefits paid is as follows:

	CASE STUDY 1		**CASE STUDY 2**	
	AGE 55 – 60		**> AGE 60**	
	No cash out	**Cash out**	**No cash out**	**Cash out**
Tax free component	$200,000	$360,000	$200,000	$470,000
Taxed component	$300,000	$140,000	$300,000	$30,000
ADP	$45,621	$21,272	$45,621	$4,562
Mary	$545,621	$521,272	$545,621	$504,562
Children	$488,593	$494,662	$488,593	$498,858
Estate	$450,500	$476,900	$450,500	$495,050

In each example the Withdrawal and Recontribution strategy provides a greater benefit to the children or estate, but only if Mary predeceases Jim. What are the odds of this happening? All relevant factors would need to be considered, not just the member's wishes that he (they) would like the children/estate to get the greatest possible (apparent) benefit.

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)			
	Age 35-49	Age 50 to 64	Age 65 to 74*	Age75 and over
From 1 July 2009	$25,000	**$50,000**	$50,000	Cannot contribute
From 1 July 2012	$25,000	**$25,000**	$25,000	Cannot contribute

*Must be employed at least 40 hours during any consecutive 30 day period in the financial year you would like to make the contributions.
Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

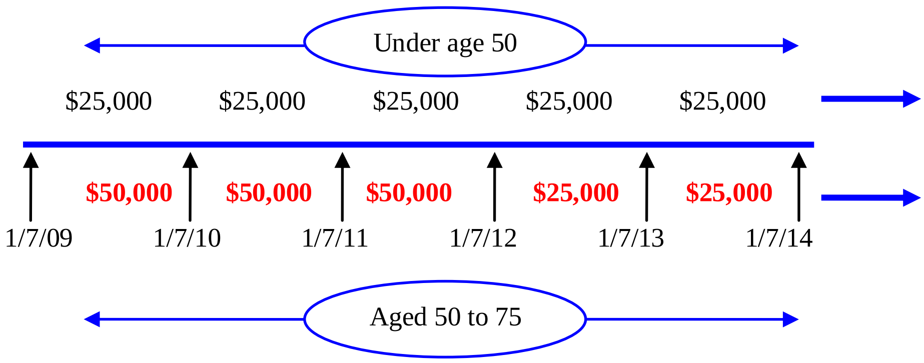
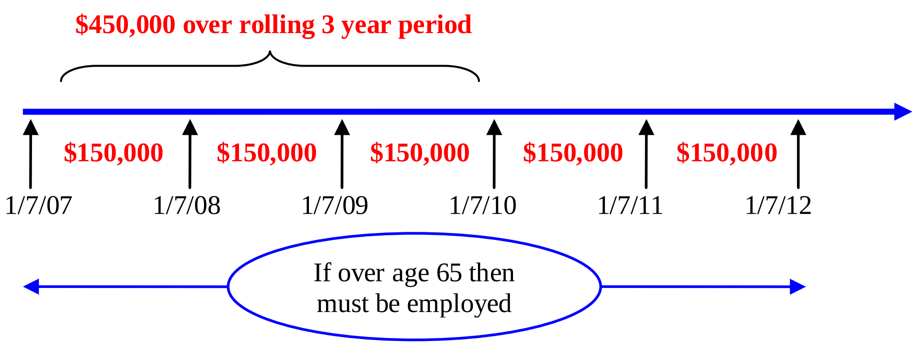


Table 2 - Non-concessional contribution limits

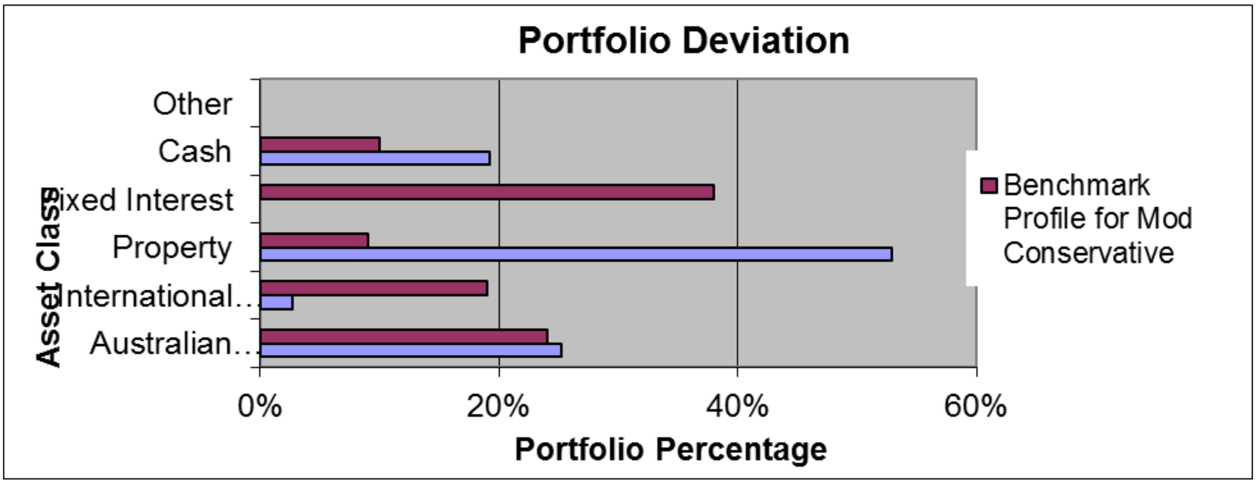
Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	$150,000 p.a.	May bring forward two years of contributions to make a $450,000 contribution in one financial year	Must be employed*	Can not contribute

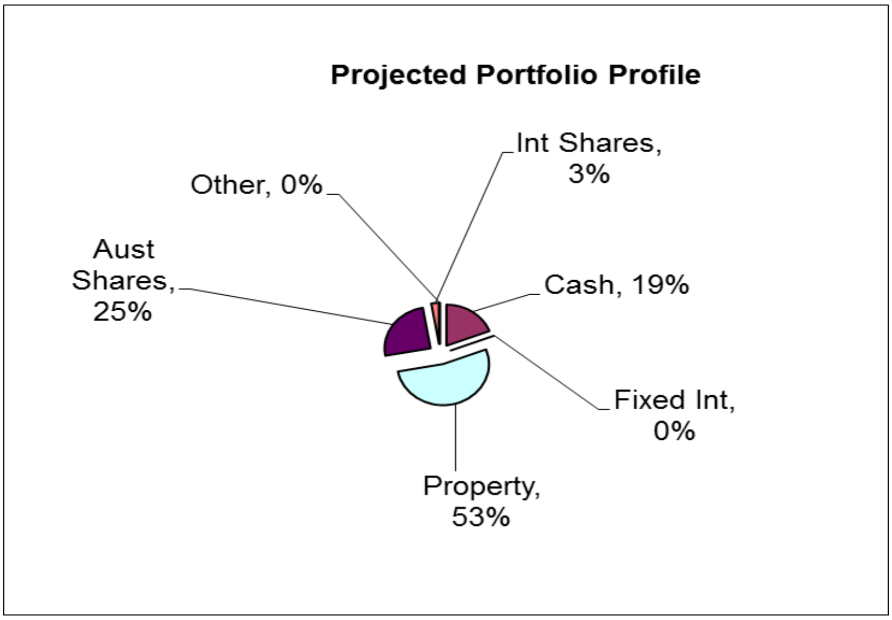


Investment Recommendations

Current Investment Portfolio Compared to Moderately Conservative Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Mod Conservative	Deviation
Australian Shares	25%	24%	1%
International Shares	3%	19%	-16%
Property	53%	9%	44%
Fixed Interest	0%	38%	-38%
Cash	19%	10%	9%
Other	0%	0%	0%





As you can see, your current investment portfolio is overweight in property in light of the fact that you own the Port Douglas property and a 1/3rd share of the Rosebud, Dromana and East Mornington clinics. As such, your portfolio is underweight in Fixed Interest when compared to the 'Moderately Conservative' benchmark.

Asset Allocation

With the sale of the Rosebud clinic within 12 months and potential sale of the port Douglas property, it is recommended that these funds be utilised to increase the Fixed interest portion of your portfolio to bring it more in line with a 'moderately conservative' portfolio as per your Investor Risk Profile.

Term Deposits vs Bonds

What are the advantages of bond funds over term deposits?
Before making a choice, it pays to look at the main differences between an investment in bonds, and an investment in a term deposit.

Firstly, a bond fund is a diversified portfolio of investments, so it effectively spreads your investment risk. A term deposit is a deposit with a single issuer bank or complying financial institution, therefore it is not diversified.

Secondly, a bond fund investment provides two types of return: income return through the receipt of bond coupon payments; and the potential for capital growth through appreciation in the market value of the underlying bond. Of course, there is also the potential for value depreciation. However, the coupon on most bonds is usually fixed, so income should remain the same, even though the market value of the underlying bonds fluctuates. Term deposits do not generate capital growth.

Term deposits pay a fixed rate of interest, but they are not tradeable, they must be held to maturity, that is, they are illiquid. While this means that depositors receive their full value back on maturity, it also means that there is no potential for any capital growth on a term deposit. If you break a term deposit before maturity there are penalties in the form of an interest rate reduction.

Returns compared
Because of their credit risk, corporate bonds typically pay yields above the cash rate. It is possible to earn higher yields from bonds than with bank term deposits which is why bonds are attractive to investors. Of course, this credit risk spread above cash is because corporate bonds come with more risks than cash. The attraction of a bond fund is that an investment manager can secure highly rated bonds and potentially remain ahead of cash.

Active management, credit risk and diversification
The key issue for investors is whether the potential for higher yields offered by a bond fund, and the additional risk, is offset by the diversification benefits an active manager can obtain by investing in multiple underlying bonds.

Bonds and risk
Term deposits are liabilities of their issuing financial institution, and therefore usually carry the same credit rating as that institution. Bond fund portfolios typically include a mix of government and corporate bonds. Therefore, the risk of a bond fund is the blend of credit risks of all the underlying bond issuers. Active bond managers rank the risks according to Standard & Poor's or other ratings agencies. There are other risks in bond portfolios. These include liquidity risk, equity risk, sovereign risk, currency risk and event risk. To compensate for these higher risks bond

investors require higher returns than cash.

The benefits of active management

Through active management, the investment manager of a bond portfolio has the benefit of being able to diversify risk by holding multiple bonds, while aiming to earn a higher yield than cash. Moreover, a dedicated portfolio manager typically has the resources to analyse the credit risk of all bond issuers, and can trade away from risk in the portfolio in a timely fashion, or secure higher yielding bonds where credit risk levels are considered appropriate.

Where does a bond fund sit on the risk curve?

Typically bond portfolios sit in the orange coloured region identified in the following chart. However, the balance between government (less risky) and corporate (more risky) means that overall a bond portfolio can sit anywhere in the grey area on the risk curve.

Summary

Investors look to bond funds as a means of potentially earning more than the underlying cash alternatives available from financial institutions. Unlike term deposits, bonds can generate capital growth. Term deposits are not diversified, and they are relatively illiquid – early redemption is penalised. Active management of a bond portfolio can secure higher returns with the benefits of credit and risk analysis, and diversification. However, on the risk spectrum investors need to ensure they are aware of the additional risks associated with bond investments.

Bonds

One way by which to access a bond portfolio is via a Master Trust Platform such as Colonial FirstChoice. Historical performance (to 31st July 2012) of some of these underlying funds is as follows:

Fund	3 months	1 year (p.a.)	2 years (p.a.)	3 years (p.a.)	5 years (p.a.)	Since inception	Inception date
FirstChoice Fixed Interest	2.83%	10.38%	8.67%	9.53%	7.80%	6.76%	17/04/02
Aberdeen Australian Fixed Income	2.92%	10.21%	8.56%	8.69%	7.36%	7.02%	30/04/07
Colonial First State Australian Bond	2.65%	7.34%	7.00%	7.35%	7.25%	6.88%	31/10/95
Colonial First State Diversified Fixed Interest	1.34%	5.12%	6.31%	7.76%	6.63%	6.54%	22/05/97
Colonial First State Index Australian Bond	3.20%	10.52%	8.56%	8.16%	7.55%	6.46%	13/07/04

Term Deposits

For comparison purposes, The highest rates currently available for term deposits of $200,000 for a term of 12 months are:

- UBank (backed by NAB) - 5.31%
- ING Direct - 5.30%
- Bankwest - 4.90%
- St George - 4.60%

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of $1,760 (inclusive of GST). Your SMSF will be invoiced for the total agreed amount accordingly.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a "cooling-off" period in which to change your mind if you don't think the product meets your needs. The cooling-off period usually starts when you're told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don't guarantee they're the best available or that they'll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Summary

Your Statement of Advice

In preparing this Statement of Advice we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Retain a copy for your records